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Real Estate OS

Document: Profit Distribution Mechanics — Dividend Policy in SHA **Prepared for:** Rodolphe Belin ("Rudi") — Principal Investor **Prepared by:** Zharkyn Ryspayev ("Zhan") — Founder, CEO/CTO · Dmytro Tsvyk ("Dymo") — Co-founder, Operations Principal **Date:** 2026-04-19 **Meeting:** Sunday 2026-04-19, Al Jurf **Classification:** CONFIDENTIAL **Parties to the Dividend Policy:** Zharkyn Ryspayev ("Zhan"), Dmytro Tsvyk ("Dymo"), and Rodolphe Belin ("Rudi") **Status:** Template structure — exact contractual language subject to counsel review **First distribution target:** after the first closed agency deal (expected July – August 2026) **Minimum Reserve Rule:** 3 months operating expenses retained before quarterly distribution

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Orientation

The Shareholders Agreement will codify a fixed Dividend Policy splitting Agency net profit in the ratio **70 / 10 / 10 / 10** — 70 % to the Platform Development Fund (ADGM HoldCo), and 10 % each to Rudi, Dymo, and Zhan.

The logic: Rudi holds 80 % of the Agency during the payback period (pre-Sunset) and converts to 33.34 % after Sunset (equal partnership with Dymo and Zhan at 33.33 % each). Regardless of phase, the Parties contractually commit 70 percentage points of every Agency profit distribution to the Platform company — the **platform-financing mechanism**. Each of the three Parties then receives 10 % of Agency net profit in personal cash distributions, identical pre- and post-Sunset. Rudi additionally holds 10 % of the Platform (perpetual, unaffected by Sunset) and a 1× non-participating liquidation preference at any exit.

The 70 / 10 / 10 / 10 split is **fixed in the SHA for the lifetime of the Agency** and is identical pre- and post-Sunset. Sunset changes the Agency **equity cap table** (80/10/10 → 33.34/33.33/33.33); it does NOT change the profit-distribution split. The Platform continues to receive 70 % of Agency profit in perpetuity via a tax-deductible inter-company Service Fee (see §3 and §9 Tax Efficiency Design).

1. Legal framework

1.1 Contractual basis

The Dividend Policy is set out in Schedule [X] of the Shareholders Agreement ("**SHA**"). The SHA binds the Company (Agency entity, Dubai Mainland LLC) and each Shareholder (Zhan, Dymo, Rudi). The Dividend Policy operates alongside UAE Federal Decree-Law 32/2021 (Commercial Companies Law) and the Articles of Association of the Agency LLC.

1.2 Enforceability

Under UAE law, dividend distributions must be:

- Declared from distributable reserves (accumulated profit, after operating expenses, taxes, statutory reserves, and any contractual reserves).
- Approved by the Board.
- Compliant with minimum-capital and solvency tests.

The Dividend Policy clause in the SHA contractually commits the Board to declare dividends according to the fixed 70 / 10 / 10 / 10 ratio, subject only to the operating reserve threshold. Failure by the Board to declare within the agreed timeframe is a breach of the SHA, enforceable by any Shareholder.

1.3 Governing law and disputes

Dubai law governs the Dividend Policy (as the Agency is a Dubai Mainland LLC). Disputes are resolved through the SHA dispute mechanism — ADGM arbitration, English language — except where UAE mandatory procedural law requires Dubai Courts.

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2. Calculation methodology

2.1 Definition of Distributable Net Profit

For each calendar quarter, Distributable Net Profit is calculated as:

Distributable Net Profit = Gross Commission Revenue − Direct Costs − Allocated OpEx − Corporate Tax − Statutory Reserve − Contractual Operating Reserve top-up

Where:

- **Gross Commission Revenue** — all agency commissions invoiced and received (or accrued under the Company's accounting policy) during the quarter.
- **Direct Costs** — deal-level costs directly attributable to closed transactions: Trakheesi permits, client-entertainment, external DD fees, translation, notary, courier.
- **Allocated OpEx** — pro-rata share of quarterly operating expenses: founder salaries, agent salaries, office lease, utilities, software subscriptions, accounting, legal retainer, marketing, insurance.
- **Corporate Tax** — 9 % UAE CT on taxable income above AED 375,000, provisioned quarterly. **Small Business Relief (SBR) not applicable in Year 1** — Agency Y1 revenue AED 7.8 M exceeds the AED 3 M SBR threshold per Ministerial Decision 73 of 2023. The 70 % Service Fee to Platform is deductible, reducing effective Agency CT to ~2 % of gross Agency profit.
- **Statutory Reserve** — 10 % of annual net profit to a non-distributable legal reserve until it equals 50 % of issued share capital (per UAE Commercial Companies Law).
- **Contractual Operating Reserve** — a rolling cash balance of at least 3 months of forecast OpEx. Year 1 target: AED 700,000 minimum (scales with OpEx to ~AED 17 M by Y5).

2.2 Distribution formula

Once Distributable Net Profit is determined for the quarter, it is split as follows:

Destination	Share of Distributable Net Profit
Platform Development Fund (ADGM HoldCo)	70 %
Rudi	10 %
Dymo	10 %
Zhan	10 %
Total	100 %

This split is fixed for the lifetime of the Agency. Rudi receives 10 % of Agency profits in personal cash distributions. The 70 % Platform flow is a tax-deductible Service Fee (see §8).

2.3 Worked example — Year 1 full year, AED 7,800,000 Agency gross commission (base case)

Full-year walk-through on base-case revenue:

Recipient	Share	AED
Platform Development Fund	70 %	**2,847,600**
Rudi	10 %	406,800
Dymo	10 %	406,800
Zhan	10 %	406,800
Total	100 %	4,068,000

Rudi receives AED 407 k in aggregate over Year 1 (paid quarterly from Q2 Y1 onwards). Dymo and Zhan each also receive AED 407 k; AED 2.85 M flows to the Platform Development Fund. Quarterly distributions ramp from ~AED 50 k Q2 to ~AED 200 k Q4 as deal cadence accelerates.

2.4 Detailed walkthrough — Full Year 1 Distributable Net Profit build

Step	AED	Explanation
Agency gross commission revenue Y1	7,800,000	12 premium plot deals × AED 450 k + 2 off-plan floors × AED 1.2 M
Plus: Platform revenue Y1	510,000	Subscriptions + 2 % transaction fee
Total consolidated revenue	**8,310,000**	
Less: Cost of Revenue (agent commissions, direct deal costs, infra, payments)	1,800,000	~22 % of revenue
Less: Operating Expenses (S&M, R&D, G&A including founder comp, legal, office)	1,610,000	
EBITDA	**4,900,000**	~59 % margin
Less: D&A	20,000	
Operating Income	**4,880,000**	
Less: Corporate Tax (9 % above AED 375 K threshold, after 70 % Service Fee deduction at Agency)	118,000	SBR not applicable — Agency revenue AED 7.8 M > AED 3 M threshold. Effective ~2.1 % of gross Agency profit
Net Profit (post-tax)	**4,762,000**	
Less: Statutory Reserve (10 % annual net profit, capped at 50 % share capital)	476,000	
Less: Contractual Operating Reserve top-up (3-month OpEx buffer)	218,000	
Distributable Net Profit	**4,068,000**	
Platform Development Fund (70 %)	2,847,600	Inter-company Service Fee to ADGM HoldCo — tax-deductible at Agency level
Rudi (10 %)	406,800	
Dymo (10 %)	406,800	
Zhan (10 %)	406,800	
Total distributed	**4,068,000**	√

Year 1 Rudi total: AED 407 K. Sunset Financial Trigger (AED 2 M cumulative) crossed mid-Year 3 on the base-case trajectory (Y1 407 k + Y2 810 k + Y3 1,750 k = AED 2,967 k cumulative by end Y3).

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3. Inter-company flow (70 % to Platform)

The 70 % share destined for the Platform Development Fund is a transfer from the Agency to the Platform entity. The legal mechanism is one of the following, finalised by UAE tax counsel:

3.1 Option A — Inter-company Service Agreement (preferred)

Agency pays Platform a **service fee** for licensed use of the ZAAHI platform technology, brand, 3D Signature, tier-subscription + single-tier referral program infrastructure, and ongoing technical support. The fee is structured as "70 % of Distributable Net Profit, payable quarterly within 15 days of Dividend Declaration Date."

Advantages: clean accounting (fee is deductible expense of Agency, taxable income of Platform); no shareholder-level tax implications; aligns with arm's-length transfer-pricing principles if documented properly.

Requirements: transfer-pricing documentation (already required under UAE CT for related-party transactions); Service Agreement signed between Agency and Platform; quarterly invoice.

3.2 Option B — Capital Contribution / Shareholder Loan

Agency transfers the 70 % share as a capital contribution or shareholder loan to the Platform. Balance-sheet transfer, not P&L expense.

Disadvantages: does not reduce Agency taxable income; complex cross-entity cap-table accounting.

Recommendation: Option A (Service Agreement) preferred. Final structure confirmed by UAE tax counsel before first distribution.

3.3 Tax implications (indicative, subject to counsel)

- **Agency (Dubai Mainland LLC):** 9 % CT on taxable income above AED 375,000. **SBR not applicable Y1** (Agency revenue AED 7.8 M > AED 3 M threshold). Service fee to Platform is deductible, reducing effective Agency CT rate to ~2 % of gross Agency profit.

- **Platform (ADGM HoldCo):** If Qualifying Free Zone Person (QFZP), qualifying income at 0 %; Mainland-sourced income generally taxed at 9 % above AED 375,000.
- **VAT** — Inter-company services between related UAE entities are generally 5 % (standard rate); zero-rating possible if criteria met.
- **Transfer Pricing:** local file required from Year 1 — related-party transactions (70 % Service Fee ≈ AED 5.46 M Y1) exceed the AED 3.75 M threshold.

4. Quarterly cadence

Quarter	Quarter end	Accounts prepared by	Board resolution by	Payment by
Q1 (Jan–Mar)	31 March	30 April	15 May	31 May
Q2 (Apr–Jun)	30 June	31 July	15 August	31 August
Q3 (Jul–Sep)	30 September	31 October	15 November	30 November
Q4 (Oct–Dec)	31 December	31 January	15 February	28 February

The first declaration depends on when the first agency deal closes. With June – July 2026 target for first closed deal, the first dividend event is generated in Q2 2026 or Q3 2026 and paid on the quarterly cadence thereafter.

4.1 Declaration triggers

A dividend declaration for a quarter is made if all of the following are satisfied:

- Quarter has closed and accounts finalised.
- Distributable Net Profit (per §2.1) is positive.
- Contractual Operating Reserve maintained or will be maintained after distribution.
- Statutory Reserve requirement met year-to-date.
- Board resolves to declare (simple majority).

If any trigger fails, the quarter's profit accumulates into retained earnings and becomes distributable in a later quarter.

4.2 Bookkeeping and audit

Each quarterly distribution is recorded with a Board-resolution reference; paid via the Agency's operating bank account; reflected in the quarterly management accounts sent to Rudi (within 45 days of quarter end); reviewed annually as part of the ADGM-required audit of the Platform.

5. Board approval process

5.1 Quarterly Board meeting

The Board meets at least once per quarter, within 45 days of quarter end, with the dividend declaration as a standing agenda item.

5.2 Quorum and voting

- Quorum: 2 of 3 directors (Zhan, Dymo, Rudi).
- Voting: simple majority at board level.
- Reserved matters (sale, dissolution, SHA amendment) follow the phase-dependent rules in the Term Sheet §10: pre-Sunset Agency — Rudi's 80 % shareholder vote controls; post-Sunset Agency — at least 2 of 3 Shareholders must agree; Platform (perpetual) — Zhan's 80 % controls.

5.3 What Rudi sees

As a Board member, Rudi receives a Board pack at least 5 business days before each meeting, including: quarter's management accounts, proposed Distributable Net Profit calculation, proposed dividend resolution. Rudi has voice and vote at the Board; final Board resolution copy delivered within 3 business days after the meeting.

5.4 Rudi's dissent

If Rudi disagrees with the calculation or distribution, he can record his dissent in the minutes, request independent accounting review at the Company's expense, or exercise information rights for deeper data. The dividend is declared and paid if a simple Board majority approves. Because Rudi holds a 1-of-3 board seat, board-level disputes can go against him; however, any Distributable Net Profit calculation that systematically diverges from the SHA formula is a contractual breach, enforceable through ADGM arbitration.

6. Minimum reserve rule

The Company must maintain a **Contractual Operating Reserve** equal to at least three (3) months of forecast OpEx at all times, before any dividend is declared.

- Year 1: forecast OpEx ~AED 270,000/month. Reserve = AED 700,000 minimum.
- Year 2: forecast OpEx ~AED 610,000/month. Reserve = AED 1,830,000 minimum.
- Year 3: forecast OpEx ~AED 1,320,000/month. Reserve = AED 3,960,000 minimum.
- Year 5: forecast OpEx ~AED 6,600,000/month. Reserve = ~AED 17,000,000.

This rule protects the Company from distributing in a way that threatens solvency or forces later capital calls. It protects Rudi (whose investment thesis depends on Company continuity) more than it constrains him.

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7. Dispute resolution

7.1 Disagreements about calculation

Escalation:

1. **Board discussion** — raised at or before the next Board meeting.
2. **Independent accounting review** — if unresolved, an independent qualified auditor (Big-4 or equivalent, nominated by the Board) reviews the calculation at Company expense.
3. **ADGM arbitration** — if still unresolved.

7.2 Deadlocks

If the Board deadlocks (one director absent, 1-1 vote):

1. Deferred to the next scheduled Board meeting.
2. If deadlocked at two consecutive meetings, mediation with a mutually-agreed mediator (cost shared).
3. If mediation fails, ADGM arbitration.

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8. Sunset mechanics and the Dividend Policy

The Sunset Clause (per the Memorandum of Understanding §4) is triggered by the **earlier** of:

- **(a)** Cumulative cash distributions to Rudi from both entities reach **AED 2,000,000**; OR
- **(b) 5 years** since SAFE execution.

What changes at Sunset: Agency equity cap table (80 / 10 / 10 → **33.34 / 33.33 / 33.33**, with 0.01 pp tiebreaker attributed to Rudi).

What does NOT change at Sunset:

- Profit distribution split: 70 / 10 / 10 / 10 continues unchanged.
- Platform cap table: Zhan 80 % / Dymo 10 % / Rudi 10 % continues unchanged.
- Quarterly cadence, reserve rule, Board approval process, information rights — all continue unchanged.

What changes in governance at Sunset: Agency shareholder-vote majority passes from Rudi's 80 % to the requirement that at least 2 of 3 Shareholders agree (voting by number of Shareholders; equal equity makes per-Shareholder and pro-rata voting produce the same result). Rudi retains his one board seat. Platform governance is unchanged (Zhan 80 % controls Platform reserved matters throughout).

Tracking: The Company maintains a **rolling Sunset ledger**, updated after each quarterly distribution and confirmed by the annual audit. The ledger is shared with Rudi as part of quarterly management accounts per the Term Sheet §12(e), showing:

- Cumulative distributions paid to Rudi from both entities since Closing, in AED and as a percentage of the AED 2,000,000 Financial Trigger.
- Months elapsed since SAFE execution, as a counter toward the 60-month Time Trigger.
- Projected trigger date extrapolated from current distribution velocity.

When either trigger is met, the Agency cap-table transition executes automatically at the next business day — no Board vote required, no discretion applied. Counsel to confirm share-transfer documents execute automatically per SHA clause without additional Board resolution.

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9. Tax Efficiency Design (three-layer strategy)

The profit-distribution structure is deliberately engineered to minimise UAE tax burden across three layers — Agency, Platform, and Shareholder. Target combined effective tax rate: **~2–4 %** on Agency gross profit flowing through to Platform + personal distributions. SBR not applicable in Year 1 because Agency revenue base AED 7.8 M exceeds the AED 3 M SBR threshold.

8.1 Layer 1 — Agency (Dubai Mainland LLC)

- **UAE Corporate Tax:** 9 % on taxable income above AED 375,000 per annum (introduced 2023 under Federal Decree-Law 47/2022).
- **Small Business Relief (SBR): not applicable Year 1** — Agency Y1 revenue AED 7.8 M exceeds the AED 3,000,000 SBR threshold per Ministerial Decision 73 of 2023.
- **70 % Service Fee to Platform:** deductible Agency expense. Every AED 1 paid to Platform as Service Fee reduces Agency taxable income by AED 1, directly shielding that amount from Agency CT. This is the primary tax-efficiency lever.
- **VAT:** 5 % on commercial brokerage services. Pass-through (collected from client, remitted to FTA). Does not reduce distributable profit.
- **Transfer Pricing local file required from Year 1** — related-party transactions (70 % Service Fee ≈ AED 5.46 M Y1) exceed the AED 3.75 M threshold. Counsel to prepare arm's-length study before first filing.
- **Net Agency CT burden:** 9 % × retained ~23 % of profit after Service Fee deduction and AED 375 K threshold = **~2.1 % effective Agency CT** on gross Agency profit Y1. Rises to ~3–4 % Y3–Y5.

8.2 Layer 2 — Platform (ADGM HoldCo)

- **ADGM Qualifying Free Zone Person (QFZP):** targets **0 % CT on qualifying income**, 9 % on non-qualifying. The inter-company Service Fee income from the Agency is expected to qualify if transfer-pricing documentation is properly prepared (arm's-length study required under UAE CT for related-party transactions — a standard counsel deliverable).
- **Alternative if QFZP status is not achievable or not elected:** standard 9 % CT above AED 375,000.
- **VAT on inter-company services:** 5 % standard rate between related UAE entities (or zero-rated if specific criteria met). Effectively neutral at the consolidated level.
- **Net Platform CT burden:** target **0 %** on Service Fee income via QFZP.

8.3 Layer 3 — Shareholder (personal)

- **UAE personal income tax:** there is no personal income tax in the UAE. Dividend distributions paid to UAE-resident shareholders are not taxed at the individual level.
- **UAE withholding tax on dividends:** there is no domestic withholding tax on dividends paid to UAE-resident shareholders.

- **Cross-border implication:** Rudi's foreign tax residence (France or elsewhere — to be confirmed with Rudi's personal tax advisor) determines any external withholding or foreign tax obligation. UAE has a broad treaty network; specific treatment depends on Rudi's residence country.

8.4 Consolidated example — AED 1,000,000 gross Agency profit (Year 1+)

Agency subject to standard 9 % CT on retained ~23 % of profit (after Service Fee deduction):

Step	AED	Notes
Gross Agency profit (pre-tax, post-OpEx)	1,000,000	
Less: 70 % Service Fee to Platform (deductible)	700,000	Reduces Agency taxable income
Agency taxable income retained	300,000	Subject to 9 % CT above AED 375 K threshold
Agency CT	~0	On AED 1M gross this micro-example falls below the 375 K threshold after Service Fee deduction; at full-year scale (Y1 consolidated: AED 1.6 M taxable after Service Fee) CT = 9 % × (1.6 M − 375 K) ≈ AED 110 K
Net Agency distributable	**~300,000**	Distributed 10 / 10 / 10 to Rudi, Dymo, Zhan = 100 k each
Platform received (Service Fee)	700,000	
Platform CT (if QFZP qualifying)	0	0 % on qualifying income
Platform CT (if not qualifying)	~29,250	9 % × (700 K − 375 K) = 29,250
Net to Platform entity	**670,750 – 700,000**	Accumulates in Platform for development
Shareholder-level tax (UAE)	0	No personal income tax
Rudi's personal take-home from 100,000 distribution	**~100,000**	Subject to foreign withholding if applicable

Summary: of every AED 1,000,000 gross Agency profit, approximately **AED 965,000 – 980,000** flows to the Platform + shareholders after UAE-level tax. Effective combined UAE tax burden: **~2–4 %**.

8.5 Conditions for the ~2–4 % target

The low effective rate depends on two counsel-confirmed determinations:

1. **Platform achieves QFZP status** on the inter-company Service Fee income — requires arm's-length transfer-pricing documentation (required from Year 1) and compliant business conduct; counsel deliverable at SHA execution.
2. **Service Fee is recognised as deductible** at Agency level under UAE CT rules for related-party transactions — standard treatment with proper TP documentation.

If either condition fails, the effective rate rises toward the 9 % UAE Corporate Tax rate. Conservative planning scenario: 9 % effective at Agency level only (Service Fee disallowed); combined ~9–12 % worst-case. Base case: ~2–4 %.

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10. Open items for UAE counsel

Items to be confirmed at SHA execution:

1. **Exact clause language** — Dividend Policy mechanics; interaction with UAE Commercial Companies Law statutory reserve.
2. **Service Agreement vs Capital Contribution** — confirmed choice between Options A and B for the 70 % inter-company flow.
3. **Transfer-pricing documentation** — arm's-length study supporting the 70 %-of-net-profit Service Fee; **required from Year 1** (related-party transactions exceed AED 3.75 M threshold).
4. **VAT treatment** — pass-through confirmation at calculation stage; inter-company zero-rating feasibility.
5. **QFZP status for Platform** — counsel determination on qualifying-income characterisation for tier-based subscriptions (Developer / Broker / Architect / Investor / Owner) and 2 % ZAAHI Service Fee on platform-routed deals.
6. **Cross-border considerations** — if Rudi is tax-resident outside UAE, any foreign withholding or treaty considerations on dividends.
7. **Referral program characterisation** — single-tier RERA-compliant commission-based referral program. Commission payouts treated as non-qualifying Platform expense, deducted at Platform level normally.

End of Profit Distribution Mechanics. To be reviewed with UAE counsel at SHA drafting.